

performance of Adam & Adam double bottoms by whether price showed a smaller or larger variation. The table shows when the bottom-to-bottom price difference had a variation greater than the median, performance improved significantly. I don't know why this might be. I can understand if the right bottom is above the left, then that would indicate buying enthusiasm. The problem is, it doesn't work. Why? The number item explains.

Lower bottom. I checked performance depending on which bottom was lower. There's not a big performance difference as the table shows, but since you have a choice in the double bottoms you pick to trade, look for ones with a bottom on the right lower than the one on the left.

Experience

Let me share some of my experience with the Adam twins to see what lessons I can pass on.

KB Home Corp.

KB Home Corp (KBH) in 2010 made an Adam & Adam double bottom which confirmed. On 2 August, I bought. Upside target was 16 and then 20 (versus a buy price of 11.65), so the target was far away. Stop location was 9.91, which was closer than the volatility stop of 9.68 and below round number 10 (support area). From my notebook: "Weekly scale (industry, too): weak with many stocks making bottoms. The housing industry seems poised to make a turn upward here. Bad news: The stock's relative strength against the S&P 500 is FALLING. Buy reason: Confirmed double bottom with a straight-line run down. I expect this to V bottom and make a beeline run back up. But if the market tanks, then sell below support at 9.91. Do NOT ride it down."

I didn't use a buy stop a penny above confirmation (optimum entry). Instead, I bought after the throwback completed and the stock started moving back up (second-best entry option).

Over the next week, the stock went down for 3 days and then recovered. After that, it just went down.